



QUANTITATIVE VS QUALITATIVE ANALYSIS

QUANTITATIVE ANALYSIS

Quantitative analysis examines numerically measurable aspects such as a company's assets, liabilities, cash flow, sales, and price-to-earnings ratio. The purpose of this analysis is to generate a quantifiable value that investors can compare to the present price of a security to determine whether it is undervalued or overvalued.

However, the shortcoming of quantitative analysis is that it does not capture characteristics or risks that are not quantifiable, such as the value of an executive or the risks a company faces with legal concerns. The analysis of these factors falls under qualitative analysis.

Quantitative analysis



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Qualitative analysis employs subjective judgment to assess a company's value or prospects based on non-quantifiable data such as management competence, industry cycles, R&D strength, and labor relations. This analysis uses "soft" or non-quantifiable data and deals with intangible and imprecise information that can be difficult to acquire and quantify. Machines struggle with qualitative analysis because intangibles cannot be defined numerically.



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EXAMPLE

- Imagine an investor named Emily evaluating two companies, Tech Nova and HealthPlus.
- **Quantitative Analysis** Emily starts by examining the financial metrics of both companies. For TechNova, she looks at the company's assets, liabilities, cash flow, and price-to-earnings ratio. She finds that Tech Nova has strong financial health, high sales growth, and a favorable price-to-earnings ratio. For HealthPlus, the numbers also look solid, but not as impressive as TechNova's.
- **Qualitative Analysis:** Emily then turns to qualitative factors.
- **Qualitative Analysis** Emily then turns to qualitative factors. She finds that TechNova has a highly innovative management team known for pioneering new technologies and has recently won several industry awards for innovation. HealthPlus, on the other hand, has a strong reputation for excellent customer service and robust R&D efforts in developing new healthcare solutions. Additionally, she discovers that Health Plus has some ongoing legal issues that could pose future risks.
- By combining both quantitative and qualitative analyses, Emily gains a comprehensive understanding of the strengths and potential risks of TechNova and Health plus allowing her to make well-informed investment decisions.

